WILEY

weygandt
kimmel
kieso
team for success

FINANCIAL ACCOUNTING 3e

IFRS EDITION

Prepared by
Coby Harmon
University of California, Santa Barbara
Westmont College

PREVIEW OF CHAPTER 3

ADJUSTING THE ACCOUNTS		
Timing Issues	**The Basics of Adjusting Entries**	**The Adjusted Trial Balance and Financial Statements**
• Fiscal and calendar years • Accrual- vs. cash-basis accounting • Recognizing revenues and expenses	• Types of adjusting entries • Adjusting entries for deferrals • Adjusting entries for accruals • Summary of basic relationships	• Preparing the adjusted trial balance • Preparing financial statements

Financial Accounting

IFRS 3rd Edition

Weygandt ● Kimmel ● Kieso

CHAPTER

3 Adjusting the Accounts

LEARNING OBJECTIVES

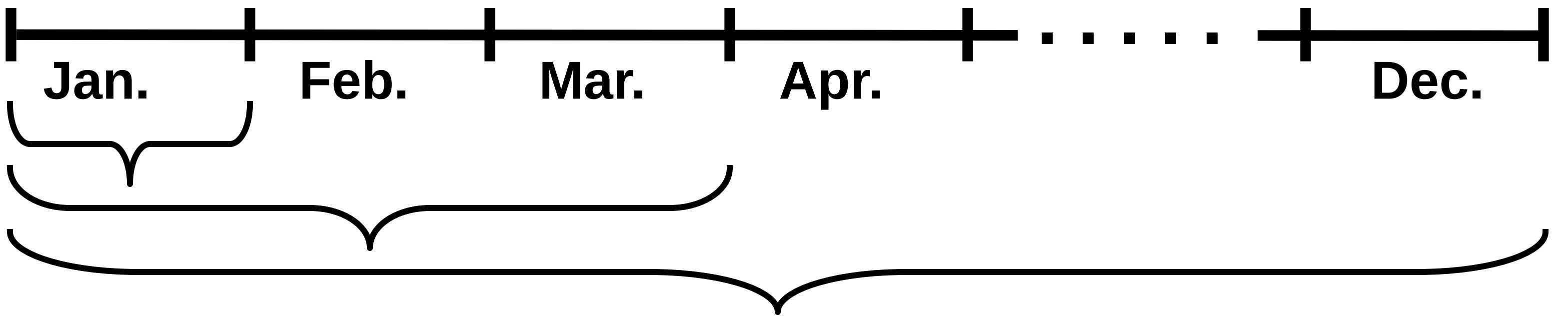
After studying this chapter, you should be able to:

1. Explain the time period assumption.
2. Explain the accrual basis of accounting.
3. Explain the reasons for adjusting entries.
4. Identify the major types of adjusting entries.
5. Prepare adjusting entries for deferrals.
6. Prepare adjusting entries for accruals.
7. Describe the nature and purpose of an adjusted trial balance.

Timing Issues

Learning Objective 1
Explain the time period assumption.

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



- Generally a month, a quarter, or a year.
- Also known as the "*Periodicity Assumption*"

Fiscal and Calendar Years

- Monthly and quarterly time periods are called **interim periods**.
- Most large companies must prepare both **quarterly** and **annual** financial statements.
- **Fiscal Year** = Accounting time period that is **one year** in length.
- **Calendar Year** = January 1 to December 31.

Accrual- versus Cash-Basis Accounting

Learning Objective 2
Explain the accrual basis of accounting.

Accrual-Basis Accounting

- Transactions recorded in the **periods in which the events occur**.
- Companies **recognize revenues when they perform services** (rather than when they receive cash).
- **Expenses** are recognized when **incurred** (rather than when paid).

Accrual- versus Cash-Basis Accounting

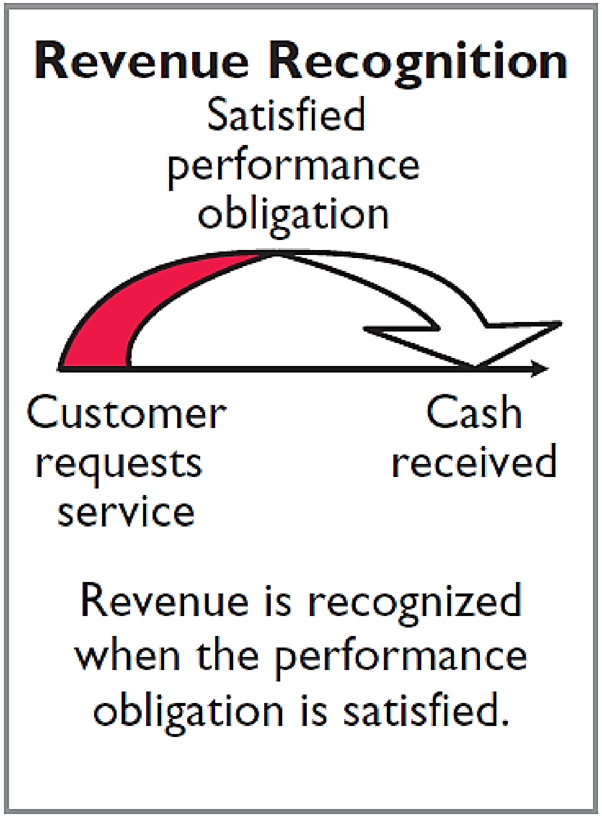
Cash-Basis Accounting

- **Revenues** are recorded when **cash is received**.
- **Expenses** are recorded when **cash is paid**.
- **Cash-basis accounting is not in accordance with International Financial Reporting Standards (IFRS).**

Recognizing Revenues and Expenses

REVENUE RECOGNITION PRINCIPLE

Recognize revenue in the accounting period in which the **performance obligation is satisfied**.



Recognizing Revenues and Expenses

EXPENSE RECOGNITION PRINCIPLE

Match expenses with revenues in the period when the company makes efforts to generate those revenues.

"Let the expenses follow the revenues."

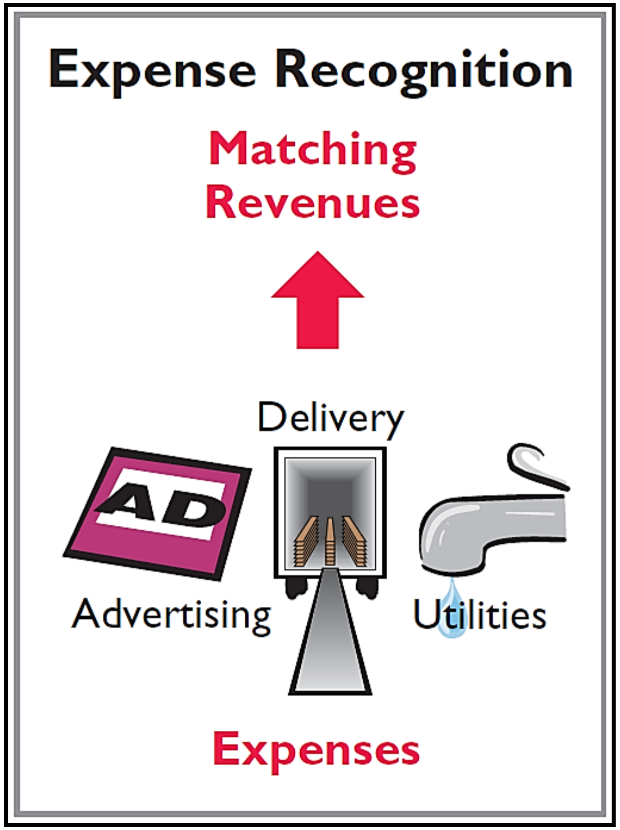
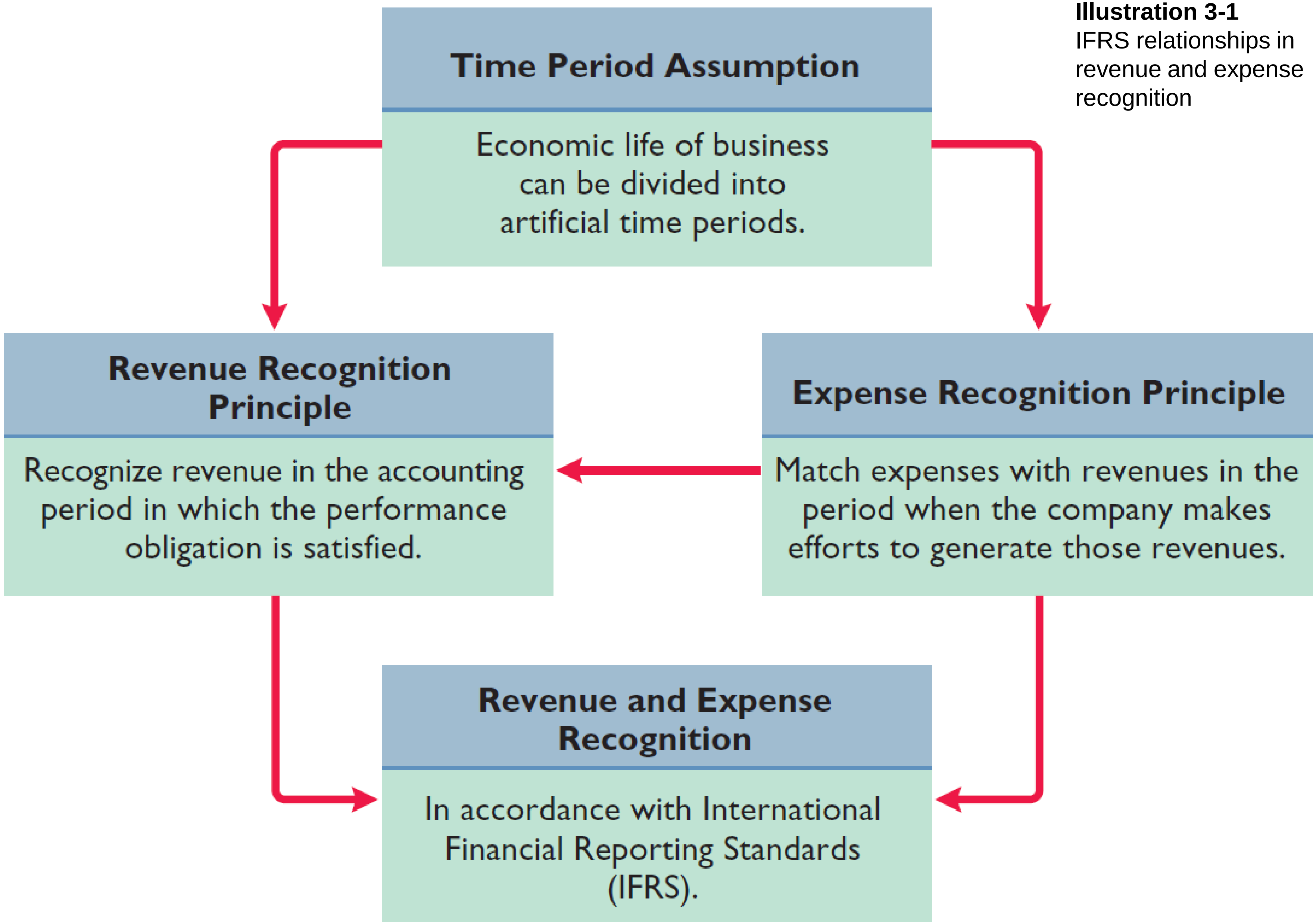


Illustration 3-1
IFRS relationships in revenue and expense recognition



LO 2

The Basics of Adjusting Entries

Learning Objective 3
Explain the reasons for adjusting entries.

Adjusting Entries

- Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- Necessary because the **trial balance may not contain up-to-date** and complete data.
- **Required** every time a company prepares financial statements.
- Will include **one income statement account** and **one statement of financial position account**.

Types of Adjusting Entries

Learning Objective 4
Identify the major types of adjusting entries.

Deferrals	**Accruals**
1. Prepaid Expenses. Expenses paid in cash before they are used or consumed.	**1. Accrued Revenues.** Revenues for services performed but not yet received in cash or recorded.
2. Unearned Revenues. Cash received before services are performed.	**2. Accrued Expenses.** Expenses incurred but not yet paid in cash or recorded.

Illustration 3-2
Categories of adjusting entries

YAZICI ADVERTISING A.Ş.
Trial Balance
October 31, 2017

	Debit	Credit
Cash	₺ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		₺ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	₺28,700	₺28,700

Illustration 3-3
Trial balance

Each account is analyzed to determine whether it is complete and up-to-date for financial statement purposes.

Adjusting Entries for Deferrals

Learning Objective 5
Prepare adjusting entries for deferrals.

Deferrals are **expenses or revenues** that are recognized at a date later than the point when cash was originally exchanged. There are **two types**:

- Prepaid expenses and
- Unearned revenues.

PREPAID EXPENSES

Payments of expenses that will benefit more than one accounting period.

Cash Payment **BEFORE** **Expense Recorded**

Prepayments often occur in regard to:

- insurance
- supplies
- advertising
- rent
- buildings and equipment

PREPAID EXPENSES

- Expire either with the passage of time or through use.
- Adjusting entry:
  - **Increase** (debit) to an **expense account** and
  - **Decrease** (credit) to an **asset account**.

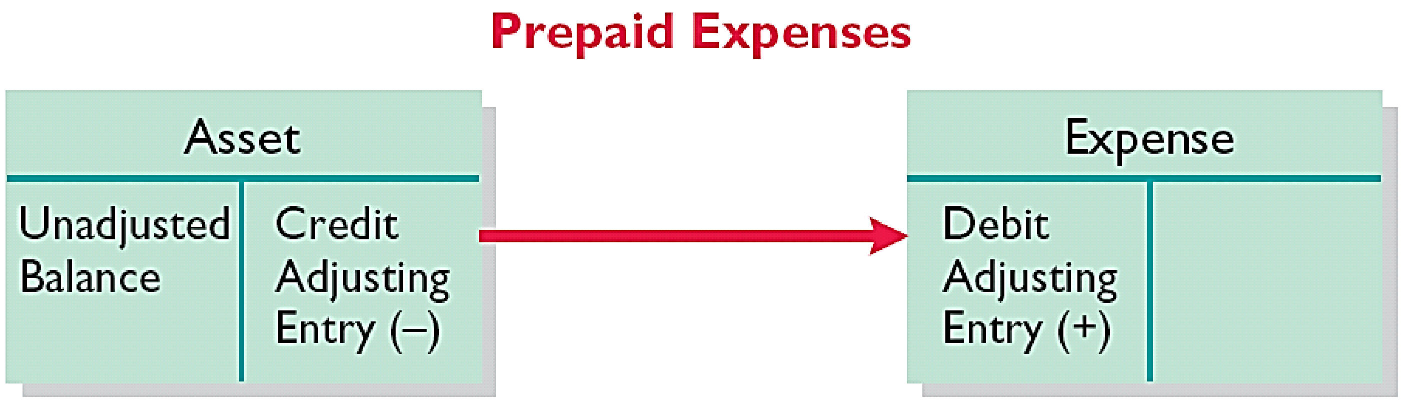


Illustration 3-4
Adjusting entries for prepaid expenses

LO 5

PREPAID EXPENSES

Illustration: Yazici Advertising Inc. Inc. purchased supplies costing ₺2,500 on October 5. Yazici recorded the purchase by increasing (debiting) the asset Supplies. This account shows a balance of ₺2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that ₺1,000 of supplies are still on hand.

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500

Basic Analysis	The expense Supplies Expense is increased ₺1,500, and the asset Supplies is decreased ₺1,500.

Equation Analysis

Assets	=	Liabilities	+	Equity
Supplies	=			Supplies Expense
−₺1,500				−₺1,500

Debit–Credit Analysis	Debits increase expenses: debit Supplies Expense ₺1,500. Credits decrease assets: credit Supplies ₺1,500.

Journal Entry

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500
	(To record supplies used)		

Posting

Supplies			126
Oct. 5	2,500	Oct. 31	Adj. 1,500
Oct. 31	Bal. 1,000		

Supplies Expense			631
Oct. 31	Adj. 1,500		
Oct. 31	Bal. 1,500		

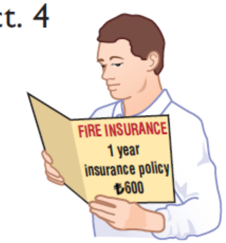
Illustration 3-5
Adjustment for supplies

PREPAID EXPENSES

Illustration: On October 4, Yazici Advertising Inc. paid ₺600 for a one-year fire insurance policy. Coverage began on October 1. Yazici recorded the payment by increasing (debiting) Prepaid Insurance. This account shows a balance of ₺600 in the October 31 trial balance. Insurance of ₺50 (₺600 ÷ 12) expires each month.

Insurance

Oct. 4



Insurance purchased; record asset

Insurance Policy			
Oct ₺50	Nov ₺50	Dec ₺50	Jan ₺50
Feb ₺50	March ₺50	April ₺50	May ₺50
June ₺50	July ₺50	Aug ₺50	Sept ₺50
Insurance = ₺600/year			

Oct. 31
Insurance expired; record insurance expense

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50

LO 5

Basic Analysis	The expense Insurance Expense is increased ₺50, and the asset Prepaid Insurance is decreased ₺50.

Equation Analysis

Assets	=	Liabilities	+	Equity
Prepaid Insurance	=			Insurance Expense
−₺50				−₺50

Debit–Credit Analysis

Debits increase expenses: debit Insurance Expense ₺50.
Credits decrease assets: credit Prepaid Insurance ₺50.

Journal Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance			130
Oct. 4	600	Oct. 31	Adj. 50
Oct. 31	Bal. 550		

Insurance Expense			722
Oct. 31	Adj. 50		
Oct. 31	Bal. 50		

Illustration 3-6
Adjustment for insurance

PREPAID EXPENSES

DEPRECIATION

- **Buildings**, **equipment**, and **motor vehicles** (assets that provide service for many years) are **recorded as assets**, rather than an expense, on the date acquired.
- **Depreciation** is the process of **allocating the cost of an asset to expense** over its **useful life**.
- Depreciation **does not attempt** to report the actual change in the value of the asset.

PREPAID EXPENSES

Illustration: For Yazici Advertising, assume that depreciation on the equipment is ₺480 a year, or ₺40 per month.

Oct. 31

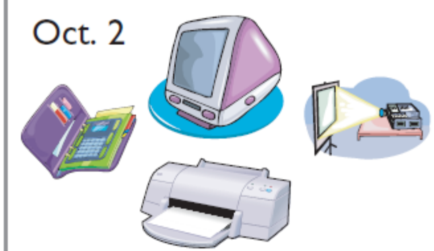
Depreciation Expense	40	
Accumulated Depreciation		40

Accumulated Depreciation is called a **contra asset account**.

• **HELPFUL HINT**
All contra accounts have increases, decreases, and normal balances opposite to the account to which they relate.

Depreciation

Oct. 2



Equipment purchased; record asset

Equipment			
Oct ₺40	Nov ₺40	Dec ₺40	Jan ₺40
Feb ₺40	March ₺40	April ₺40	May ₺40
June ₺40	July ₺40	Aug ₺40	Sept ₺40
Depreciation = ₺480/year			

Oct. 31
Depreciation recognized; record depreciation expense

Basic Analysis

The expense Depreciation Expense is increased ৳40, and the contra asset Accumulated Depreciation—Equipment is increased ৳40.

Equation Analysis

Assets	=	Liabilities	+	Equity
Accumulated Depreciation—Equipment	=			Depreciation Expense
−৳40				−৳40

Debit–Credit Analysis

Debits increase expenses: debit Depreciation Expense ৳40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment ৳40.

Journal Entry

Oct. 31	Depreciation Expense	40	
	Accumulated Depreciation—Equipment		40
	(To record monthly depreciation)		

Posting

Equipment			157
Oct. 2	5,000		
Oct. 31	Bal. 5,000		

Accumulated Depreciation—Equipment			158
		Oct. 31	Adj. 40
		Oct. 31	Bal. 40

Depreciation Expense			711
Oct. 31	Adj. 40		
Oct. 31	Bal. 40		

Illustration 3-7
Adjustment for depreciation

PREPAID EXPENSES

Statement Presentation

- Accumulated Depreciation is a **contra asset account** (credit).
- **Appears just after** the account it offsets (Equipment) on the balance sheet.
- **Book value** is the difference between the cost of any depreciable asset and its accumulated depreciation.

Equipment	₺ 5,000
Less: Accumulated depreciation—equipment	40
	₺4,960

Illustration 3-8
Statement of financial position presentation of accumulated depreciation

PREPAID EXPENSES

Accounting for Prepaid Expenses			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Insurance, supplies, advertising, rent, depreciation	Prepaid expenses recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Asset

Illustration 3-9
Accounting for prepaid expenses

UNEARNED REVENUES

Receipt of cash that is recorded as a liability because the service has not been performed.

Cash Receipt **BEFORE** **Revenue Recorded**

Unearned revenues often occur in regard to:

- Rent
- Airline tickets
- Magazine subscriptions
- Customer deposits

UNEARNED REVENUES

- Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the accounting period.
- Results in a **decrease** (debit) to a **liability account** and an **increase** (credit) to a **revenue account**.

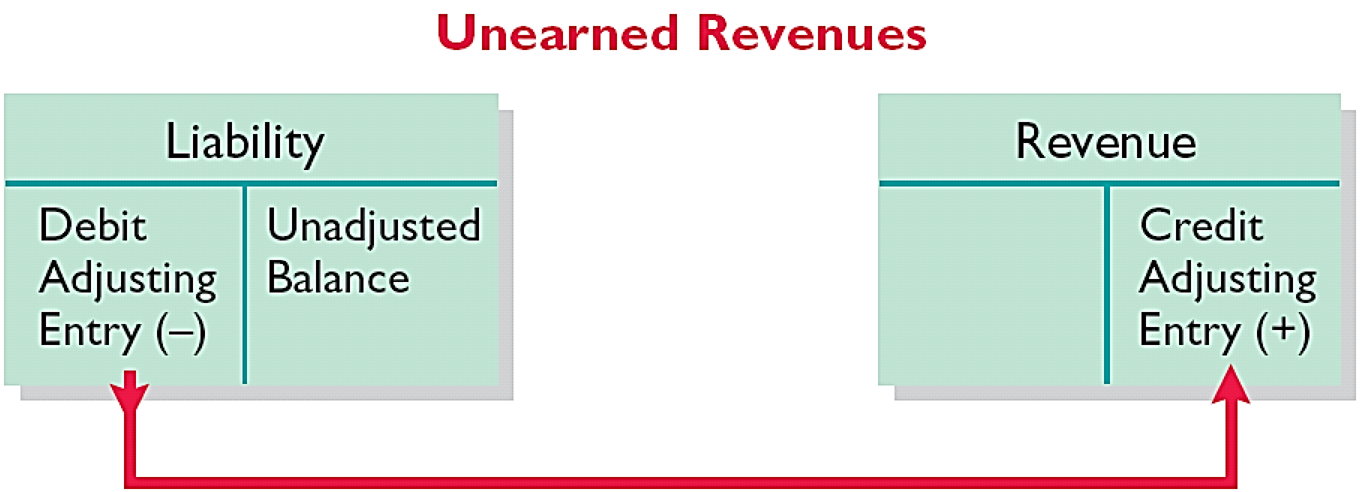


Illustration 3-10
Adjusting entries for unearned revenues

UNEARNED REVENUES

Illustration: Yazici Advertising Inc. received ₺1,200 on October 2 from R. Knox for advertising services expected to be completed by December 31. Unearned Service Revenue shows a balance of ₺1,200 in the October 31 trial balance. Analysis reveals that the company performed ₺400 of services in October.

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400

Basic Analysis

The liability Unearned Service Revenue is decreased ₺400, and the revenue Service Revenue is increased ₺400.

Equation Analysis

Assets	=	Liabilities	+	Equity
		Unearned Service Revenue		Service Revenue
		−₺400		+₺400

Debit–Credit Analysis

Debits decrease liabilities: debit Unearned Service Revenue ₺400.
Credits increase revenues: credit Service Revenue ₺400.

Journal Entry

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400
	(To record revenue for services performed)		

Posting

Unearned Service Revenue 209

Oct. 31	Adj. 400	Oct. 2	1,200
		Oct. 31	Bal. 800

Service Revenue 400

		Oct. 3	10,000
		31	Adj. 400
		Oct. 31	Bal. 10,400

Illustration 3-11
Service revenue accounts after adjustment

UNEARNED REVENUES

Accounting for Unearned Revenues

Examples	Reason for Adjustment	Accounts Before Adjustment	Adjusting Entry
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues

Illustration 3-12
Accounting for unearned revenues

> DO IT!

The ledger of Zhu Company on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)	Debit	Credit
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

An analysis of the accounts shows the following.

1. Insurance expires at the rate of ¥100 per month.
2. Supplies on hand total ¥800.
3. The equipment depreciates ¥200 a month.
4. One-half of the unearned service revenue was performed in March.

Prepare the adjusting entries for the month of March.

> DO IT!

The ledger of Zhu Company on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)	Debit	Credit
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

1. Insurance expires at the rate of ¥100 per month.

Insurance Expense	100	
Prepaid Insurance		100

> DO IT!

The ledger of Zhu Company on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)	Debit	Credit
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

2. Supplies on hand total ¥800.

Supplies Expense	2,000	
Supplies		2,000

> DO IT!

The ledger of Zhu Company on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)	Debit	Credit
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

3. The equipment depreciates ¥200 a month.

Depreciation Expense	200	
Accumulated Depreciation—Equipment		200

> DO IT!

The ledger of Zhu Company on March 31, 2017, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)	Debit	Credit
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

Prepare the adjusting entries for the month of March.

4. One-half of the unearned service revenue was performed in March.

Unearned Service Revenue	4,600	
Service Revenue		4,600

LO 5

Adjusting Entries for Accruals

Learning Objective 6
Prepare adjusting entries for accruals.

Accruals are made to record

- Revenues for services performed but not yet recorded at the statement date (**accrued revenues**).

OR

- Expenses incurred but not yet paid or recorded at the statement date (**accrued expenses**).

ACCRUED REVENUES

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded **BEFORE** **Cash Receipt**

Accrued revenues often occur in regard to:

- Rent
- Interest
- Services performed

ACCRUED REVENUES

- Adjusting entry records the **receivable** that exists and records the **revenues for services performed**.
- Adjusting entry:
  - **Increases** (debits) an **asset account** and
  - **Increases** (credits) a **revenue account**.

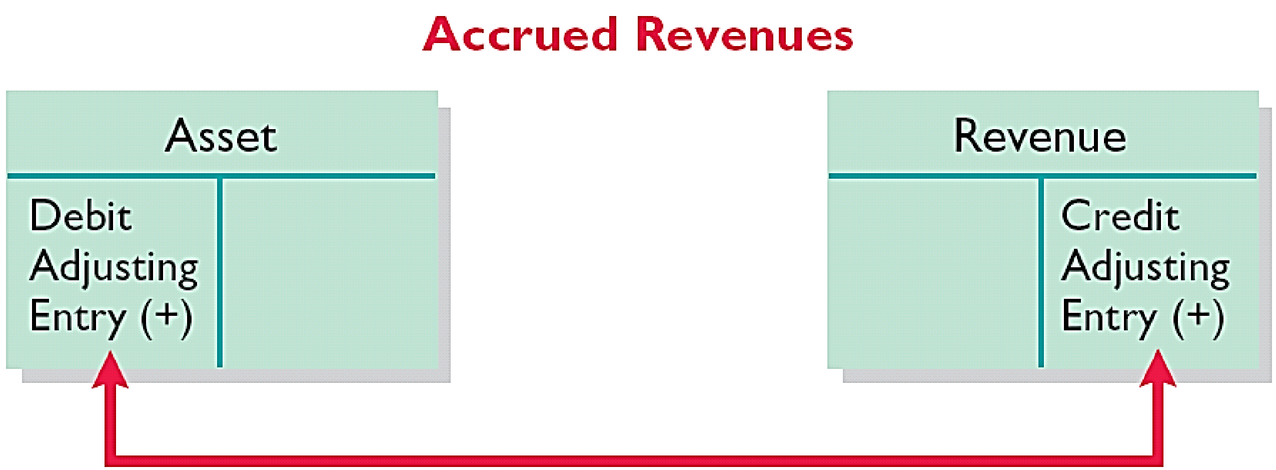


Illustration 3-13
Adjusting entries for accrued revenues

ACCRUED REVENUES

Illustration: In October, Yazici Advertising Inc. performed services worth ₺200 that were not billed to clients in October.

Oct. 31

Accounts Receivable	200	
Service Revenue		200

Accrued Revenues

Revenue and receivable are recorded for unbilled services

On November 10, Yazici receives cash of ₺200 for the services performed.

Nov. 10	Cash	200	
	Accounts Receivable		200

Basic Analysis	The asset Accounts Receivable is increased ₺200, and the revenue Service Revenue is increased ₺200.
Equation Analysis	**Assets** = **Liabilities** + **Equity** Accounts Receivable +₺200 = Service Revenue +₺200
Debit–Credit Analysis	Debits increase assets: debit Accounts Receivable ₺200. Credits increase revenues: credit Service Revenue ₺200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable		112	
Oct. 31	Adj. 200		
Oct. 31	Bal. 200		

Service Revenue			400
	Oct. 3		10,000
	31		400
	31	Adj.	200
	Oct. 31	Bal.	10,600

Illustration 3-14
Adjustment for accrued revenue

ACCRUED REVENUES

Accounting for Accrued Revenues			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, services performed but not collected	Services performed but not yet recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

Illustration 3-15
Accounting for accrued revenues

ACCRUED EXPENSES

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded BEFORE **Cash Payment**

Accrued expenses often occur in regard to:

- Interest
- Taxes
- Salaries

LO 6

ACCRUED EXPENSES

- Adjusting entry records the obligation and recognizes the expense.
- Adjusting entry:
  - **Increase** (debit) an **expense account** and
  - **Increase** (credit) a **liability account**.

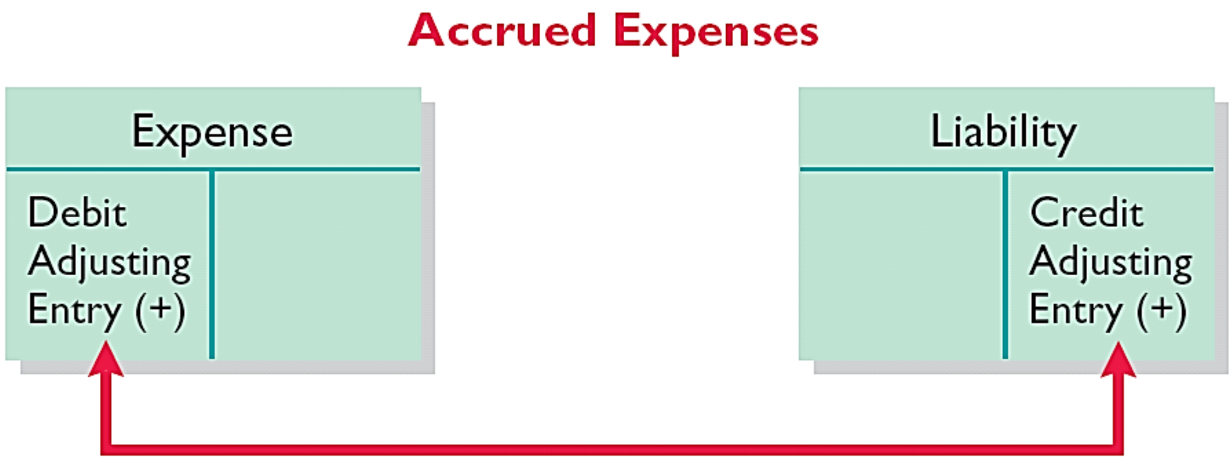


Illustration 3-16
Adjusting entries for accrued expenses

ACCRUED INTEREST

Illustration: Yazici Advertising Inc. signed a three-month note payable in the amount of ₺5,000 on October 1. The note requires Yazici to pay interest at an annual rate of 12%.

Illustration 3-17
Formula for computing interest

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
₺5,000	×	12%	×	$\frac{1}{12}$	=	₺50

Oct. 31	Interest Expense	50	
	Interest Payable		50

Basic Analysis

The expense Interest Expense is increased ₺50, and the liability Interest Payable is increased ₺50.

Equation Analysis

Assets	=	Liabilities	+	Equity
		Interest Payable		Interest Expense
		+₺50		−₺50

Debit–Credit Analysis

Debits increase expenses: debit Interest Expense ₺50.
Credits increase liabilities: credit Interest Payable ₺50.

Journal Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense	905
Oct. 31 Adj. 50	
Oct. 31 Bal. 50	

Interest Payable	230
	Oct. 31 Adj. 50
	Oct. 31 Bal. 50

Illustration 3-18
Adjustment for accrued interest

ACCRUED SALARIES AND WAGES

Illustration: Yazici paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of ₺2,000 for a five-day work week, or ₺400 per day. Thus, accrued salaries at October 31 are ₺1,200 (₺400 x 3 days).

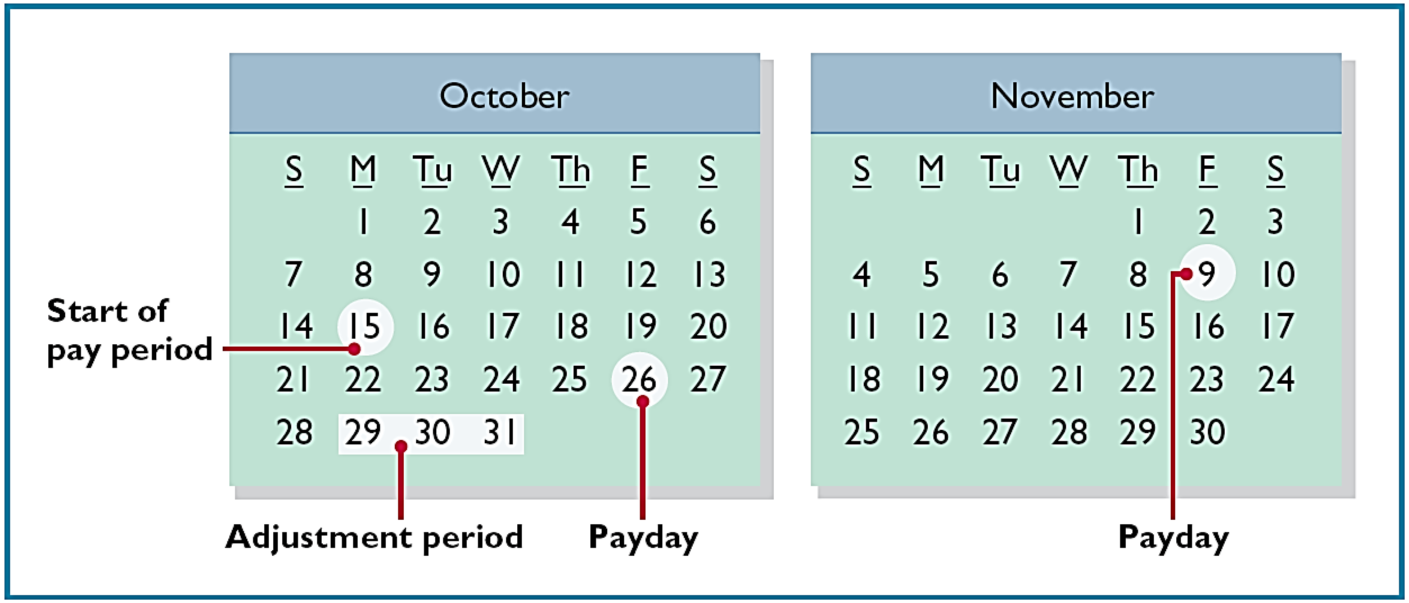


Illustration 3-19
Calendar showing Yazici's pay periods

Basic Analysis

The expense Salaries and Wages Expense is increased ₺1,200, and the liability account Salaries and Wages Payable is increased ₺1,200.

Equation Analysis

Assets	=	Liabilities	+	Equity
		Salaries and Wages Payable		Salaries and Wages Expense
		+₺1,200		−₺1,200

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense ₺1,200.
Credits increase liabilities: credit Salaries and Wages Payable ₺1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200
	(To record accrued salaries and wages)		

Posting

Salaries and Wages Expense 726

Oct. 26 4,000	
31 **Adj. 1,200**	
Oct. 31 Bal. 5,200	

Salaries and Wages Payable 212

	Oct. 31 **Adj. 1,200**
	Oct. 31 Bal. 1,200

Illustration 3-20
Adjustment for accrued salaries and wages

ACCRUED EXPENSES

Accounting for Accrued Expenses			
Examples	**Reason for Adjustment**	**Accounts Before Adjustment**	**Adjusting Entry**
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

Illustration 3-21
Accounting for accrued expenses

Evan Watts, D.D.S., opened a dental practice on January 1, 2020. During the first month of operations, the following transactions occurred.

1. Watts performed services for patients totaling $2,400. These services have not yet been recorded.
2. Utility expenses incurred but not paid prior to January 31 totaled $400.
3. Purchased dental equipment on January 1 for $80,000, paying $20,000 in cash and signing a $60,000, 3-year note payable. The equipment depreciates $500 per month. Interest is $600 per month.
4. Purchased a one-year malpractice insurance policy on January 1 for $12,000.
5. Purchased $2,600 of dental supplies. On January 31, determined that $900 of supplies were on hand

Instructions

Prepare the adjusting entries on January 31.

The income statement of Venden Co. for the month of July shows net income of $4,000 based on Service Revenue $8,700, Salaries and Wages Expense $2,500, Supplies Expense $1,700, and Utilities Expense $500. In reviewing the statement, you discover the following.

1. Insurance expired during July of $700 was omitted.
2. Supplies expense includes $250 of supplies that are still on hand at July 31.
3. Depreciation on equipment of $300 was omitted.
4. Accrued but unpaid wages at July 31 of $400 were not included.
5. Services performed but unrecorded totaled $650.

Instructions : Prepare a correct income statement for July 2020

Problem 3

The Green Thumb Lawn Care Company began operations on April 1. At April 30, the trial balance shows the following balances for selected accounts. Prepaid Insurance $ 3,600, Equipment 28,000, Notes Payable 20,000, Unearned Service Revenue 4200, Service Revenue 1800. Analysis reveals the following additional data.

1. Prepaid insurance is the cost of a 2-year insurance policy, effective April 1.
2. Depreciation on the equipment is $500 per month.
3. The note payable is dated April 1. It is a 6-month, 12% note.
4. Seven customers paid for the company's 6-month lawn service package of $600 beginning in April. The company performed services for these customers in April.
5. Lawn services performed for other customers but not recorded at April 30 totaled $1,500.

Instruction

Prepare the adjusting entries for the month of April. Show computations

> **DO IT!**

Micro Computer Services began operations on August 1, 2017. At the end of August 2017, management prepares monthly financial statements. The following information relates to August.

1. At August 31, the company owed its employees ¥8,000 in salaries and wages that will be paid on September 1.
2. On August 1, the company borrowed ¥300,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.
3. Revenue for services performed but unrecorded for August totaled ¥11,000.

Prepare the adjusting entries needed at August 31, 2017.

> DO IT!

Prepare the adjusting entries needed at August 31, 2017.

1. At August 31, the company owed its employees ¥8,000 in salaries and wages that will be paid on September 1.

Salaries and Wages Expense	**8,000**	
Salaries and Wages Payable		**8,000**

2. On August 1, the company borrowed ¥300,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.

Interest Expense	**2,500**	
Interest Payable		**2,500**

3. Revenue for services performed but unrecorded for August totaled ¥11,000.

Accounts Receivable	**11,000**	
Service Revenue		**11,000**

Summary of Basic Relationships

Type of Adjustment	Accounts Before Adjustment	Adjusting Entry
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

Illustration 3-22
Summary of adjusting entries

The Adjusted Trial Balance and Financial Statements

Preparing the Adjusted Trial Balance

- Prepared **after all adjusting entries** are journalized and posted.
- Purpose is to **prove the equality** of debit balances and credit balances in the ledger.
- Is the **primary basis for the preparation of financial statements**.

Learning Objective 7
Describe the nature and purpose of an adjusted trial balance.

YAZICI ADVERTISING A.Ş.
Adjusted Trial Balance
October 31, 2017

	Debit	Credit
Cash	₺ 15,200	
Accounts Receivable	**200**	
Supplies	**1,000**	
Prepaid Insurance	**550**	
Equipment	5,000	
Accumulated Depreciation—Equipment		**₺ 40**
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		**50**
Unearned Service Revenue		**800**
Salaries and Wages Payable		**1,200**
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	**5,200**	
Supplies Expense	**1,500**	
Rent Expense	900	
Insurance Expense	**50**	
Interest Expense	**50**	
Depreciation Expense	**40**	
	₺30,190	**₺30,190**

Illustration 3-25
Adjusted trial balance

LO 7

Preparing Financial Statements

Financial Statements are prepared directly from the **Adjusted Trial Balance**.

Income Statement

Retained Earnings Statement

Statement of Financial Position

YAZICI ADVERTISING A.Ş.
Adjusted Trial Balance
October 31, 2017

Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	₺30,190	₺30,190

YAZICI ADVERTISING A.Ş.
Income Statement
For the Month Ended October 31, 2017

Revenues		
Service revenue		₺10,600
Expenses		
Salaries and wages expense	₺5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses		7,740
Net income		₺ 2,860

YAZICI ADVERTISING A.Ş.
Retained Earnings Statement
For the Month Ended October 31, 2017

Retained earnings, October 1	₺ –0–
Add: Net income	2,860
	2,860
Less: Dividends	500
Retained earnings, October 31	₺2,360

To statement of financial position

Illustration 3-26
Preparation of the income statement and retained earnings statement from the adjusted trial balance

YAZICI ADVERTISING A.Ş.
Adjusted Trial Balance
October 31, 2017

Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		–0–
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	₺30,190	₺30,190

YAZICI ADVERTISING A.Ş.
Statement of Financial Position
October 31, 2017

Assets		
Equipment	₺5,000	
Less: Accumulated depreciation—equip.	40	₺ 4,960
Prepaid insurance		550
Supplies		1,000
Accounts receivable		200
Cash		15,200
Total assets		₺21,910
Equity and Liabilities		
Equity		
Share capital—ordinary	₺10,000	
Retained earnings	2,360	₺12,360
Liabilities		
Notes payable	5,000	
Accounts payable	2,500	
Unearned service revenue	800	
Salaries and wages payable	1,200	
Interest payable	50	9,550
Total equity and liabilities		₺21,910

Balance at Oct. 31 from retained earnings statement in Illustration 3-26

Illustration 3-27
Preparation of the statement of financial position from the adjusted trial balance

Prepaid Expenses

Company may choose to **debit (increase) an expense account** rather than an asset account. This alternative treatment is simply more convenient.

Prepayment Initially Debited to Asset Account (per chapter)				Prepayment Initially Debited to Expense Account (per appendix)			
Oct. 5	Supplies	2,500		Oct. 5	Supplies Expense	2,500	
	Accounts Payable		2,500		Accounts Payable		2,500
Oct. 31	Supplies Expense	1,500		Oct. 31	Supplies	1,000	
	Supplies		1,500		Supplies Expense		1,000

Illustration 3A-2
Adjustment approaches—a comparison

Unearned Revenues

Company may **credit (increase) a revenue account** when they receive cash for future services.

Unearned Service Revenue Initially Credited to Liability Account (per chapter)				Unearned Service Revenue Initially Credited to Revenue Account (per appendix)			
Oct. 2	Cash	1,200		Oct. 2	Cash	1,200	
	Unearned Service Revenue		1,200		Service Revenue		1,200
Oct. 31	Unearned Service Revenue	400		Oct. 31	Service Revenue	800	
	Service Revenue		400		Unearned Service Revenue		800

Illustration 3A-5
Adjustment approaches—a comparison

Qualities of Useful Information

Two fundamental qualities, **relevance** and **faithful representation**.

Faithful Representation

- Information accurately depicts what really happened.
- Information must be
  - **complete** (nothing important has been omitted),
  - **neutral** (is not biased toward one position or another), and
  - **free from error**.

Qualities of Useful Information

ENHANCING QUALITIES

Comparability results when different companies use the same accounting principles.

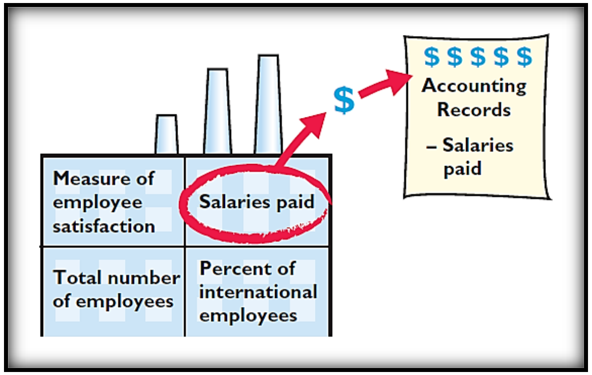
Information is **verifiable** if independent observers, using the same methods, obtain similar results.

Information has the quality of **understandability** if it is presented in a clear and concise fashion.

Consistency means that a company uses the same accounting principles and methods from year to year.

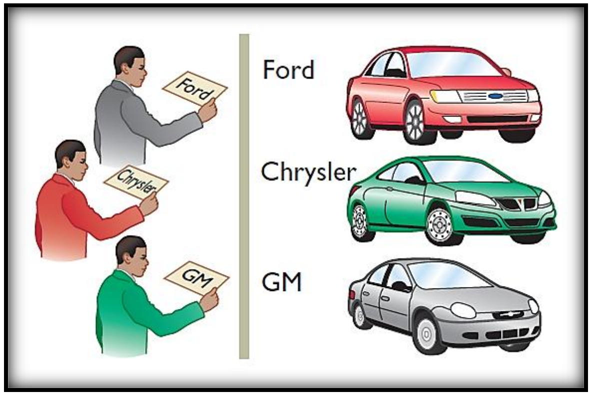
For accounting information to have relevance, it must be **timely**.

Assumptions in Financial Reporting



Monetary Unit

Requires that only those things that can be expressed in money are included in the accounting records.



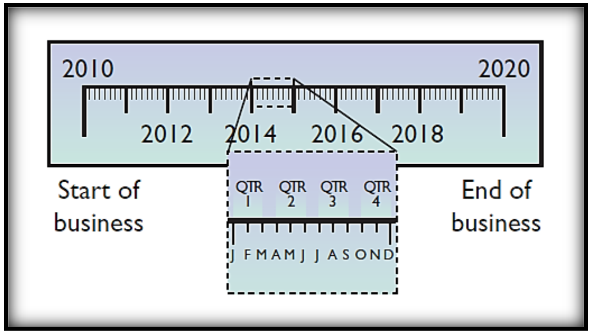
Economic Entity

States that every economic entity can be separately identified and accounted for.

Illustration 3B-2
Key assumptions in financial reporting

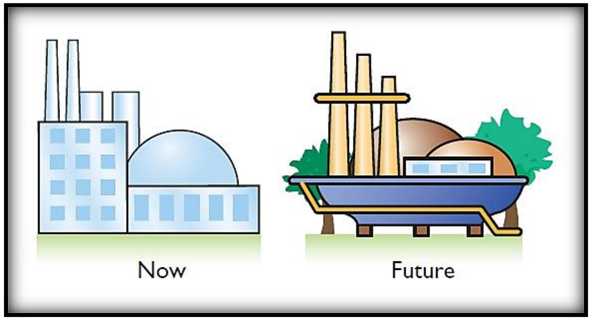
LO 9

Assumptions in Financial Reporting



Time Period

States that the life of a business can be divided into artificial time periods.



Going Concern

The business will remain in operation for the foreseeable future.

Illustration 3B-2
Key assumptions in financial reporting

LO 9

Principles of Financial Reporting

MEASUREMENT PRINCIPLES

Historical Cost	Fair Value
Or cost principle, dictates that companies record assets at their cost.	Indicates that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

Principles of Financial Reporting

REVENUE RECOGNITION PRINCIPLE	EXPENSE RECOGNITION PRINCIPLE	FULL DISCLOSURE PRINCIPLE
Requires that companies recognize revenue in the accounting period in which the performance obligation is satisfied.	Dictates that efforts (expenses) be matched with results (revenues). Thus, expenses follow revenues.	Requires that companies disclose all circumstances and events that would make a difference to financial statement users.